# 7-2h Limitations of Internal Control

Internal control systems can provide only reasonable assurance for safeguarding assets, processing accurate information, and compliance with laws and regulations. In other words, internal controls are not a guarantee. This is due to the following factors:

- The human element of controls
- Cost-benefit considerations

The *human element* recognizes that controls are applied and used by humans. As a result, human errors can occur because of fatigue, carelessness, confusion, or misjudgment. For example, an employee may unintentionally shortchange a customer or miscount the amount of inventory received from a supplier. In addition, two or more employees may collude together to defeat or circumvent internal controls. This latter case often involves fraud and the theft of assets. For example, the cashier and the accounts receivable clerk might collude to steal customer payments on account.

*Cost-benefit considerations* recognize that the cost of internal controls should not exceed their benefits. For example, retail stores could eliminate shoplifting by searching all customers before they leave the store. However, such a control procedure would upset customers and result in lost sales. Instead, retailers use cameras or signs saying, "*We prosecute all shoplifters*."

Link to eBay

The auditor's report for **eBay** includes the statement: … internal control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting …

Using Data Analytics

**Evaluating Internal Controls**

Loss of inventory from shoplifting is a major concern for large retail chains such as **Walmart Stores, Inc. (WMT)** and **Target Corporation (TGT)**. The National Association for Shoplifting Prevention (NASP) estimates that stores lose more than $45 million a day to shoplifting.

Retailers can implement a variety of controls to prevent and detect shoplifting, including the following:

1. Place rounded mirrors throughout stores to better enable employees to detect shoplifters.
2. Install electronic tags on high-value items that must be removed before exiting the store.
3. Put up signs indicating the store's willingness to prosecute shoplifters.
4. Hire a person to check bags and receipts of all customers exiting the store.
5. Hire a greeter to monitor customers bringing bags or other items that can be used to hide shoplifted items.
6. Install security cameras throughout stores.
7. Place high-value items in locked cases.
8. Monitor dressing rooms closely.

Before implementing a control, retailers should carefully consider the cost of the control and whether the cost exceeds its potential benefit. For example, the cost of putting up signs and mirrors is low compared to the cost of installing security cameras, using electronic tags, or hiring greeters. Data analytics can be used by large retail chains such as Walmart and Target to monitor shoplifting and to assess the cost-benefit of various shoplifting controls across their stores.

See TIF 7-6 for a homework assignment using data analytics.

Source: www.shopliftingprevention.org/the-shoplifting-problem/